

Greater Montréal, a Global Tech Hub





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So many reasons to invest in Montréal's software development and IT services sector



▲ **170,000 Tech workers**, a **31% growth** between 2018 and 2023

▲ **Canada's university capital and leader for university research funding**

▲ **The most bilingual and trilingual population** in Canada

▲ **100,000+ software developers** with strategic skills such as Java, SQL, Python, etc.

▲ **Many cutting-edge expertise to boost the Tech sector:** AI, quantum, cybersecurity, etc.

▲ **32% cost advantage for a software development company** over the average of the 20 largest metropolitan areas in Canada and the U.S.

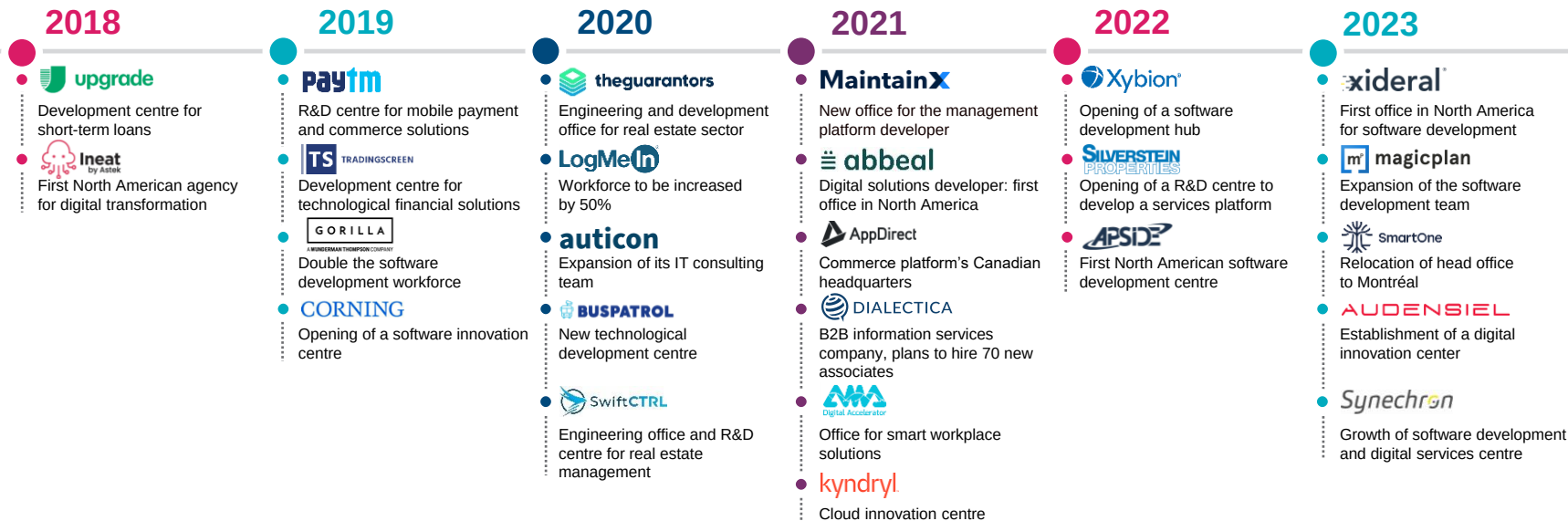
▲ **#2 hub in Canada and in the Top 10 in North America** for Tech jobs

▲ **Close to 30,000 university students** enrolled in IT-related programs in Québec

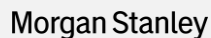
▲ **Tailored incentives to support your growth:** up to **30%** of eligible expenses and salaries

Close to \$8.6B of foreign direct investment in Tech supported by Montréal International between 2018 and 2023

Examples of companies investing in software development in Greater Montréal since 2018



Other foreign companies that have chosen Greater Montréal



“We chose Montréal as our Canadian footprint due in part to the centres of excellence, academic institutions and most importantly its highly skilled workforce. We expect to grow our footprint and look forward to becoming an integral part of the Montréal and wider Québec technology and life sciences community.”

— Dr. Pradip Banerjee, Chairman,
Xybion Corporation



“Montréal has everything we need to take Inspire Labs to the next level. [...] The city has a deep, skilled, multilingual talent pool that includes IT professionals and recent university graduates, a strategic geographical position and rich AI and IT ecosystems. Our immediate goal is to recruit top-level talent to lead this initiative and develop these two important products.”

— Noam Weisman, Vice President of Customer
Products, Silverstein Properties



“The next-generation workforce from Montréal technical colleges and universities have the opportunity to deliver the technology skills needed to drive business innovation.”

— Xerxes Cooper, President,
Kyndryl Canada



“Microsoft is very excited about the idea of collaborating with professors, students and the extensive tech community in Montréal. The city is becoming a global hub for research and innovation in AI.”

— Brad Smith, President, Microsoft



“The combination of Montréal’s culture of innovation, expertise in emerging technologies such as AI and machine learning, and not least, the time zone alignment with our clients on the Eastern Seaboard made it the logical choice.”

— Amir Razmara, Cofounder and Chief
Technology Officer, Avenue Code



“Montréal’s AI ecosystem is recognized around the world and that’s what first attracted us to this city [...]. Some of our company’s core values include sharing knowledge and technical excellence. As such, we believe Montréal’s spirit of collaboration will allow us to achieve our most ambitious projects.”

— Frédéric Volpi, CEO, Stack Labs



01

A Leading Tech Hub



A strong base of Tech companies

Homegrown companies



Foreign companies



Startups



- And many more!

Diverse expertise to spur innovation and growth



AI AND BIG DATA

Many global leaders, including Google, Samsung and Meta, have chosen Montréal for their AI R&D centre



FINTECH

A global hub with many cutting-edge expertise in PayTech, PropTech, InsurTech, etc.



HEALTHTECH

6th-largest North American hub for life sciences and health technology



VIDEO GAMES

Among the top five largest video game development hubs in the world



CYBERSECURITY

A world-class research hub in cybersecurity with 20+ organizations and many renowned researchers



QUANTUM TECHNOLOGY

Quantum communications expertise provided by prominent researchers such as Gilles Brassard

A world-class hub in artificial intelligence

- **35,000+ workers** with AI skills
- Home of **Scale AI**, Canada's AI supply chain supercluster
- Presence of **Mila**, the world's largest academic research lab in deep learning and reinforcement learning and **IVADO**, Canada's largest AI consortium
- Many global leaders have opened an AI R&D centre in Montréal, such as:

Google Meta SAMSUNG THALES

Microsoft ERICSSON DeepMind IBM



A collaborative ecosystem to drive the industry's development

Cluster organizations



Research organizations



Incubators and accelerators



Funding organizations



- And many more!

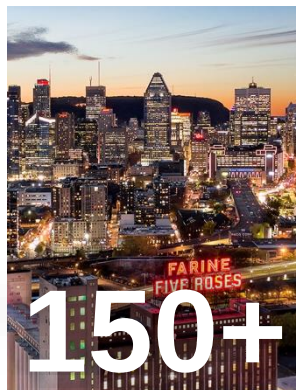
Greater Montréal, a global R&D centre



#1
province
in Canada
for R&D investments
in % of GDP
with \$11.5B
spent in 2021*



#1
metropolis
in Canada
for university
research funding
with \$1.6B+
annually



150+
FDI projects**
since 2020
with a R&D component
supported by Montréal
International

Examples of companies that chose Montréal to invest in R&D



- And many more!

* \$6.6B spent by companies, \$4.4B by universities and \$0.5B by the public sector.

** Foreign Direct Investment projects.

Source: Statistics Canada, Table 27-10-0273-01, 2023; Research Infosource Inc., 2024; Montréal International analysis.



An ideal location to grow your startup

- **\$11B+ in VC investments** between 2018 and 2023 in Québec
- **57% in the IT sector**
- Examples of recent funding in the Tech sector in Montréal (US\$):

PAPER

\$270M (2022)
Series D

V VENTION

\$95M (2022)
Series C

W'K

\$43M (2022)
Series A

NORTHSTAR
CIEL & TERRE

\$35M (2023)
Series C

MEDFAR
CLINICAL SOLUTIONS

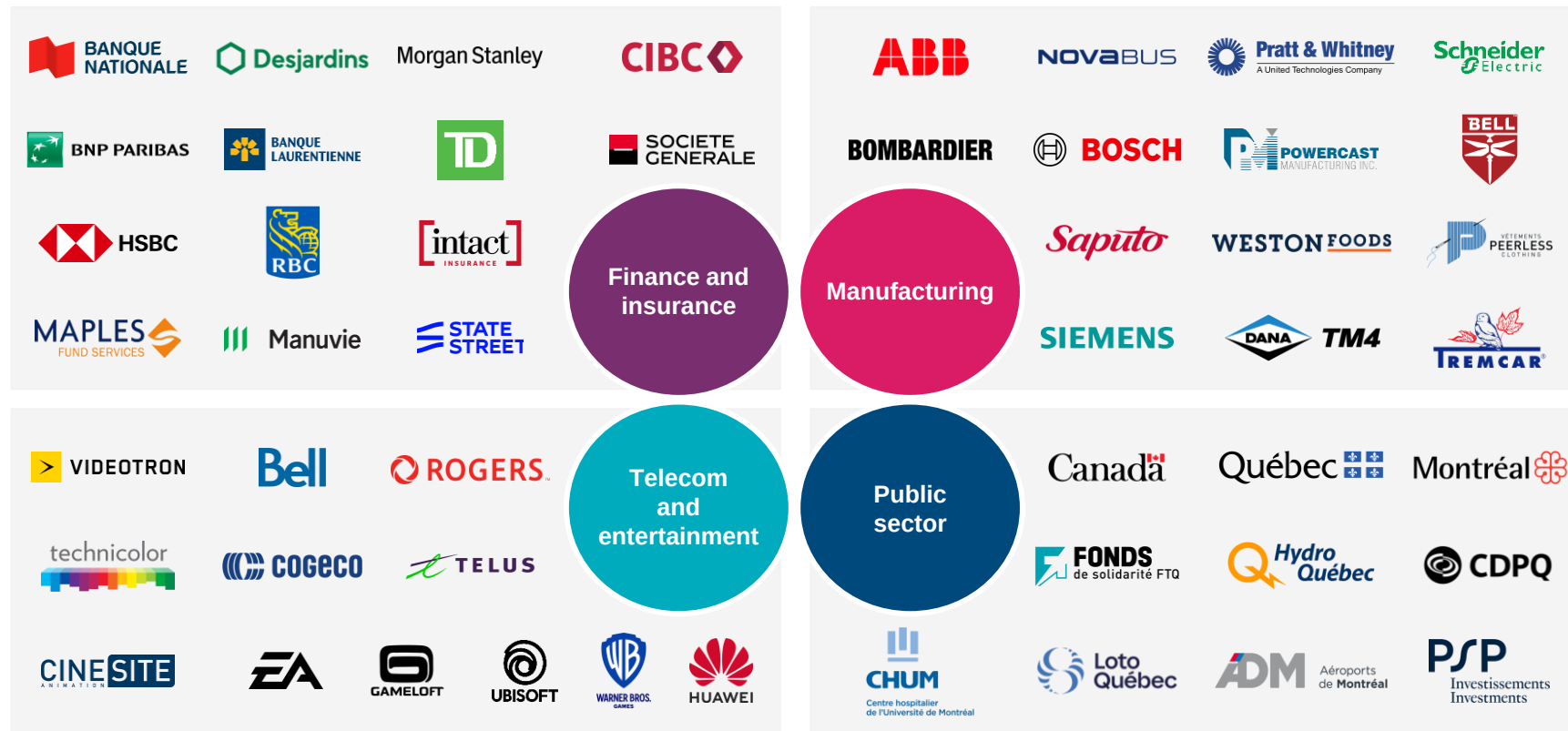
\$30M (2023)
Series C

novisto

\$20M (2023)
Series B

- And many more!

A diverse economy generating business opportunities



02

A Deep and Growing Pool of Highly Qualified Talent





Montréal, a leading Tech talent pool in North America

170k Tech workers in 2023

+31% growth between 2018 and 2023

Top 10 hub in North America for Tech jobs

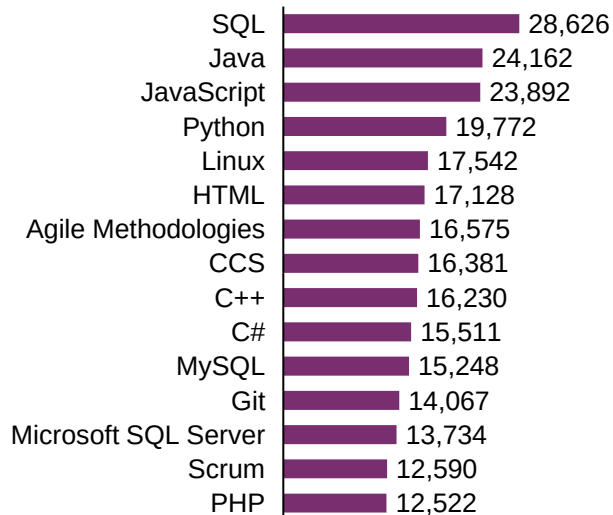
#2 hub in Canada for Tech jobs

More than 100,000 software developers with strategic skills in Greater Montréal



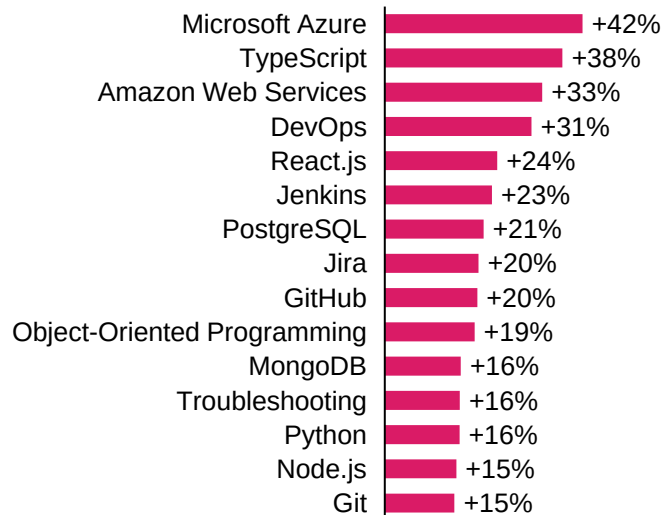
Main skills among software developers

Number of workers for each skill, Jan. 2024



Fastest-growing skills among software developers

% of growth over the past 12 months, Jan. 2024



*682 job titles taken into account to define workers in software development, such as: Computer programmer, cybersecurity engineer, software engineer, Solutions architect, etc.

Note: Excluding niche specialties such as video games, VFX and animation.

Source: LinkedIn, Talent Insights, January 2024; Montréal International analysis.

Montréal, best city in the world to study



Canada's university capital:

15

University institutions with campuses

90+

Colleges

50+

Vocational training centres



A large pool of students ready to join the workforce

500,000+ post-secondary students, including 60% on Greater Montréal campuses



Montréal, selected as the world's best city to study abroad

Helpful Professor, 2023





Close to 30,000 university students enrolled in IT-related programs in Québec

Examples of IT-related programs	Students enrolled, 2023-2024	Graduates, 2022
Computer Sciences	17,773	4,463
Electrical and Electronic Engineering	4,649	1,043
Computer Engineering	4,044	658
Mathematics and applied mathematics	1,548	410
Probabilities and statistics	314	81

Source: Ministère de l'Éducation et de l'Enseignement supérieur, 2023; Montréal International compilation.



Canada's most bilingual and trilingual population

2.4M residents speak English,
that's 4% more than in Vancouver

56% of the population is bilingual
(French and English), compared to
7% in Toronto and Vancouver

24% of the population is fluent in
three or more languages,
compared to 13% in Toronto and
12% in Vancouver

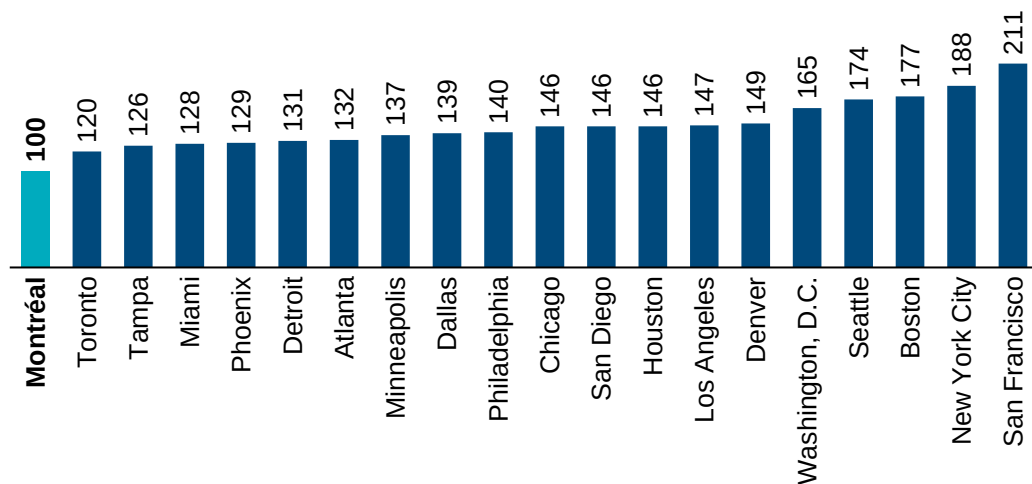
03

Attractive Operating Costs and Incentives



Operating a business costs less in Greater Montréal than in other major metropolitan areas in Canada and the U.S.

Operating costs index* for software development
20 largest metropolitan areas in Canada and the U.S., 2024



32% cost advantage

for software development compared to the average 20 largest metropolitan areas in Canada and the U.S.

*Index Montréal = 100.

Note: The annual operating cost calculations are based on labour and property costs in US\$.

Source: fDi Benchmark, 2024; Economic Research Institute Inc., 2024; Montréal International analysis.

Advantageous salaries for employers

Annual salaries* for 8 typical occupations in software development (US\$)

Selection of 8 major North American cities, 2024

	Montréal	Montréal with E-Business tax** (assuming 100% eligibility)	Toronto	Atlanta	Los Angeles	Boston	New York	Seattle	San Francisco
UX Designer	\$83,473	\$64,950	\$89,262	\$103,973	\$110,740	\$114,828	\$119,904	\$120,143	\$141,848
Quality Assurance Analyst	\$85,075	\$66,553	\$90,943	\$106,361	\$113,422	\$117,366	\$122,817	\$122,749	\$145,011
System Administrator	\$85,900	\$67,377	\$91,812	\$106,673	\$113,761	\$117,693	\$123,186	\$123,092	\$145,424
Data Architect	\$96,921	\$78,398	\$104,615	\$128,286	\$169,036	\$141,056	\$151,723	\$146,101	\$174,132
Full Stack Developer	\$104,015	\$85,492	\$110,788	\$137,639	\$147,699	\$149,211	\$159,778	\$156,122	\$184,794
Software Engineer	\$106,657	\$88,134	\$113,543	\$139,422	\$149,611	\$150,818	\$161,777	\$157,955	\$186,878
Lead Computer programmer	\$115,454	\$96,931	\$122,706	\$150,614	\$161,821	\$160,319	\$174,215	\$169,552	\$199,745
Product Development Manager	\$133,858	\$115,063	\$142,559	\$179,253	\$196,412	\$193,846	\$220,236	\$196,038	\$232,748

*Base salaries based on Level 2 (Intermediate level with 5 to 7 years of experience) at the 75th percentile, for the Computer systems design services industry (NAICS 541512).

**E-Business tax credit reinforces a salary cap of CA\$83,333, meaning that a maximum of CA\$20,000 refundable and CA\$5,000 non-refundable credits can be claimed per eligible employee.

Currency exchange based on the 2023 yearly average: US\$1.00 = CA\$1.3497.

Source: Bank of Canada, 2024; Economic Research Institute Inc., 2024; Montréal International analysis.

Low benefit costs for employers

Examples of benefit costs for employers, 2024

Gross annual salary	\$50,000	\$100,000	\$125,000
Québec Public Pension Plan (employee: 6.40%; employer: 6.40%; max. \$4,038.40)	\$3,200.00	\$4,348.00	\$4,348.00
Québec Parental Insurance Plan (employee: 0.494%; employer: 0.692%; max. salary of \$91,000)	\$346.00	\$650.48	\$650.48
Employment Insurance (employee: 1.27%; employer: 1.78%; max. salary of \$61,500)	\$924.00	\$1,167.94	\$1,167.94
Health Services Fund (max. 4.26% if global salary total is more than \$7M)	\$2,130.00	\$4,260.00	\$5,325.00
Commission des normes du travail (Labour standards board) (0.06%; max. salary of \$91,000)	\$30.00	\$56.40	\$56.40
Commission de la santé et sécurité du travail (Occupational health and safety board) (0.41% in service sector; max. salary of \$91,000)*	\$180.00	\$327.60	\$327.60
Workforce Skills Development and Recognition Fund - Québec Training Law 1% (1% of total payroll must be allocated to training; for employers with over \$2M payroll)	\$500.00	\$1,000.00	\$1,250.00
Total benefit costs	\$7,310.00	\$11,810.42	\$13,125.42
Total cost	\$57,310.00	\$111,810.42	\$138,125.42
Total benefits in % of gross annual salary	14.62%	11.81%	10,50%

Note: Paid vacation represents a minimum of 4% of salary and is included in gross salary. Some rates apply up to a maximum insurable revenue.

*The average premium rate in 2024 is \$1.48 per \$100 of payroll, all sectors combined.

Source: Revenu Québec, 2024; Montréal International compilation.

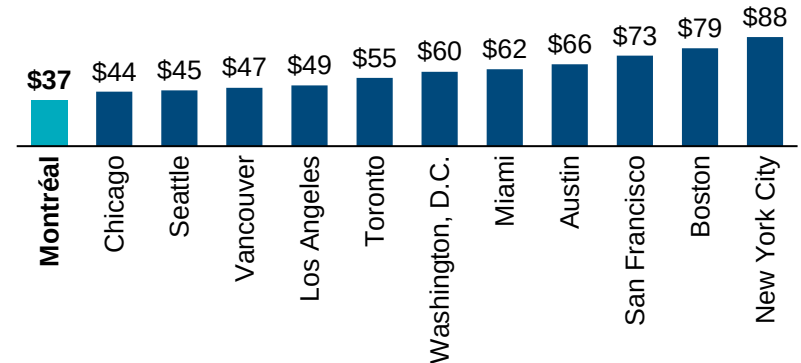


Affordable office space

- Office space is available at highly competitive rates compared to almost all other large cities in Canada and the United States
- Average asking rent for office space in Montréal is:
 - US\$36.80/sq.ft/yr (all classes)
 - US\$41.03/sq.ft/yr (Class-A)

Average asking rent (US\$)

Selection of metropolitan areas in Canada and the U.S.,
all classes, US\$/sq.ft/yr*, 2023



*Average annual gross rent in Central Business District.

Currency exchange based on the 2022 annual average: CA\$1.00 = U.S.\$0.7685.

Source: Avison Young, Q3 2023; Montréal International compilation.

E-Business tax credit could cover up to 30% of eligible salaries

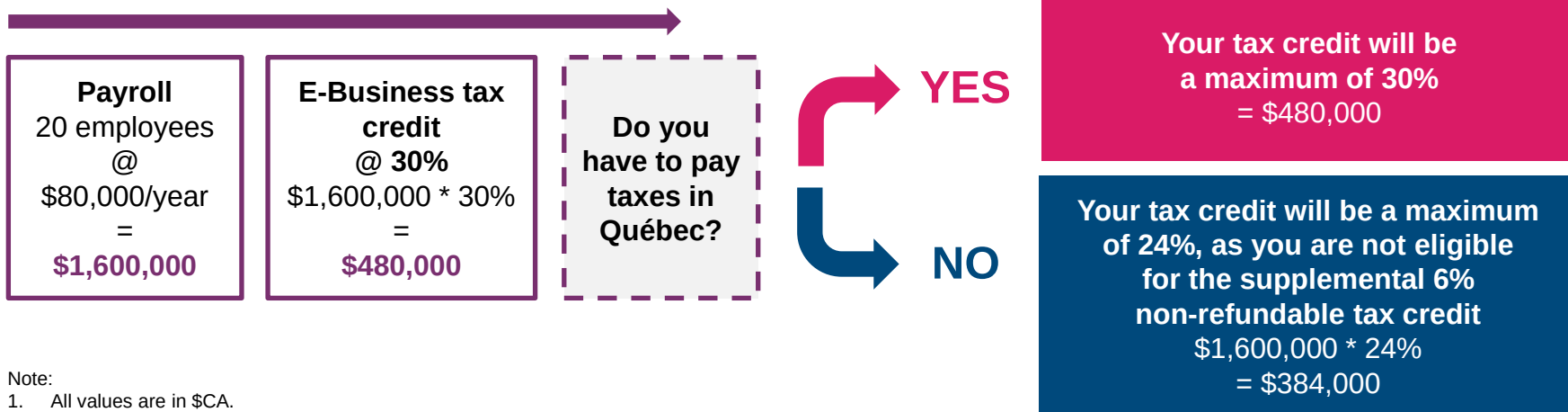
SCENARIO

Québec refundable tax credit for the development of E-Business:

- Covers up to **30%** of employee salaries, including **24% refundable**, up to **\$25,000** per employee, per year

ASSUMPTIONS¹

- Foreign-controlled company
- 20 employees eligible @ \$80,000/year
- 100% of their work is related to eligible activities under the E-Business



Note:

1. All values are in \$CA.

2. The unused portion of the non-refundable tax credit can be carried back three years or forward 20 years.

Source: Ministry of Finance of Québec, 2021; Montréal International analysis.

R&D tax credits: 15% non-refundable from Canada and 14% refundable from Québec

SCENARIO

Scientific Research and Experimental Development (SR&ED) tax incentive program

ASSUMPTIONS

- Foreign-controlled company, more than \$75M assets
- 15 eligible employees @ \$100,000/year
- 100% of their work is related to eligible activities
- Subcontractor: \$200,000

	Canada	Québec
Qualifying salaries and wages	\$1,500,000 (A)	\$1,500,000 (D)
Other eligible expenses @ 55% ¹	\$825,000 (B)	-
Subcontractor ²	\$160,000 (C)	\$100,000 (E)
Exclusion on the first \$225,000 of R&D expenditures ³	-	\$(225,000) (F)
Deduction of the Québec R&D credit ⁵	\$(192,500) (G)	-
Total qualifying expenditures	\$2,292,500 (A) + (B) + (C) - (G)	\$1,375,000 (D) + (E) - (F)
Refundable Québec credit @ 14%	-	\$192,500 (G)
Non-refundable federal credit @ 15%	\$343,875 (H)	-
Total tax credit	\$536,375 (G) + (H)	

Note:

1. Up to 55% of qualifying salaries and wages, federal only: expenditures should be related to R&D activities.

3. Only 80% of the amount paid to a subcontractor is eligible for a federal tax credit and 50% for a Québec tax credit.

4. Québec only: For SMEs (less than \$50M assets) there is an SR&ED tax credit exclusion on the first \$50K of R&D spending. For large companies (more than \$75M assets) and companies under foreign control, the exclusion applies on the first \$225K of R&D spending. This amount is deducted of the qualifying salaries and wages.

5. For the purposes of calculating the combined rate of the credit, the tax credit from the government of Québec is applied against the federal tax credit.

Source: Ministry of Finance of Québec, 2021; PWC, 2021; Montréal International compilation.

Combination of E-Business and SR&ED tax credits

Refundable tax credits for Scientific Research and Experimental Development (SR&ED) and E-Business¹:

- E-Business covers up to **30%**, including **24% refundable**, of employee salaries up to **\$25,000** per job per year
- SR&ED covers **15%** from the Government of Canada, and **14%, refundable**, from the Government of Québec

SCENARIO	SR&ED	E-Business	
Combination of the Québec refundable tax credit for the development of E-Business and the Canada Scientific Research and Experimental Development (SR&ED)	CANADA	QUÉBEC	
	Qualifying salaries and wages	\$1,600,000 (A)	\$1,600,000 (C)
	Other eligible expenses @ 55% of A ²	\$880,000 (B)	-
	Total qualifying expenditures	\$2,480,000 (A)+(B)	\$1,600,000 (C)
	Federal credit @ 15% of total qualifying expenditures	\$372,000	-
ASSUMPTIONS	Québec credit @ 30% ³ of total qualifying expenditures	-	\$480,000
	Total credit	\$852,000	
Foreign-controlled company			
20 eligible employees @ \$80,000/year			
100% of their work is related to eligible activities			

ASSUMPTIONS

- Foreign-controlled company
- 20 eligible employees @ \$80,000/year
- 100% of their work is related to eligible activities

Other scenarios are possible to maximize the total credit amount depending on the R&D intensity

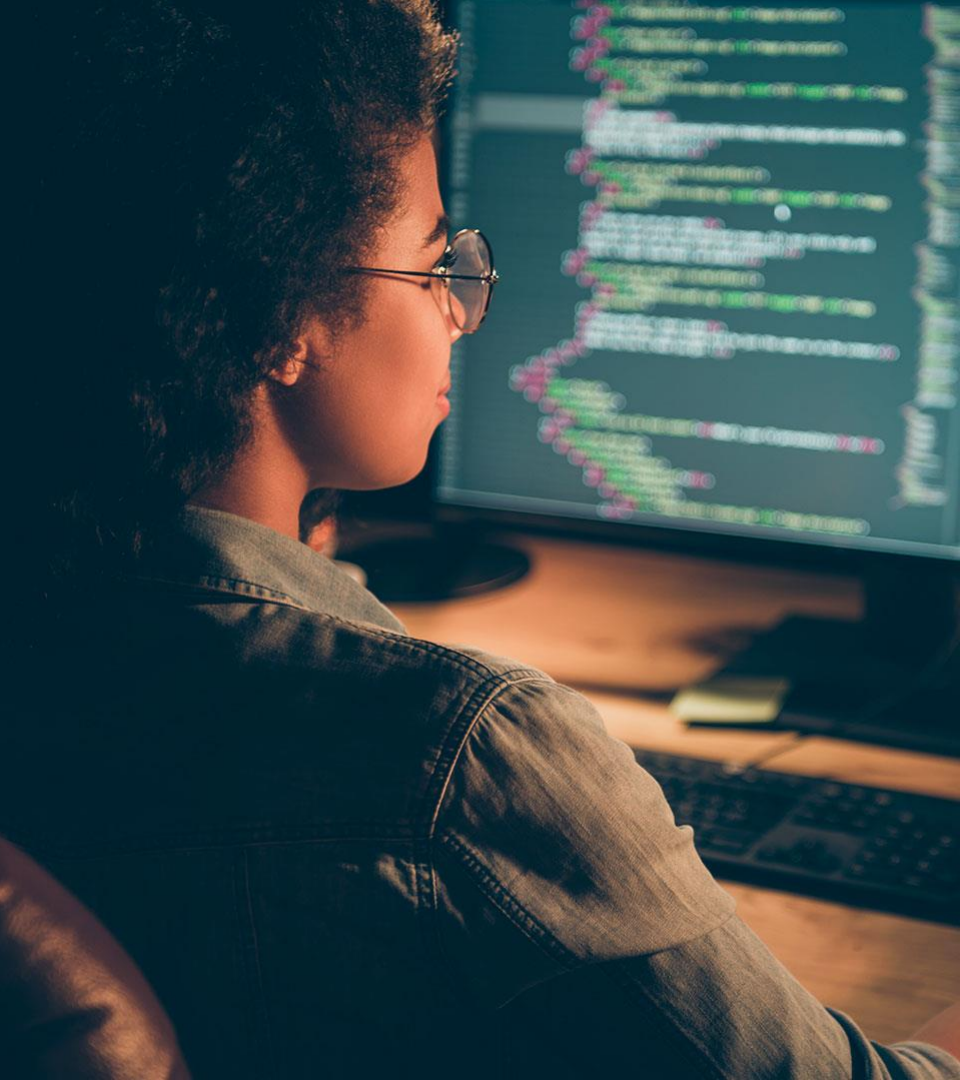
Note:

1. Company has to choose between the R&D or the E-Business tax credit for the Québec credits. Only the SR&ED applies in combination with the E-Business.

2. Up to 55% of qualifying salaries and wages, federal only: expenditures should be related to R&D activities.

3. If the company has no taxes to be paid, the Québec credit will be 24%.

Source: Ministry of Finance of Québec, 2021; Montréal International compilation.



Incentives to attract and develop talents

Workforce Training Measure (MFOR-E)

- **Up to 40%** of eligible costs for the implementation of a training program

Tax holiday for foreign researchers and experts

Five-year Québec income tax exemption

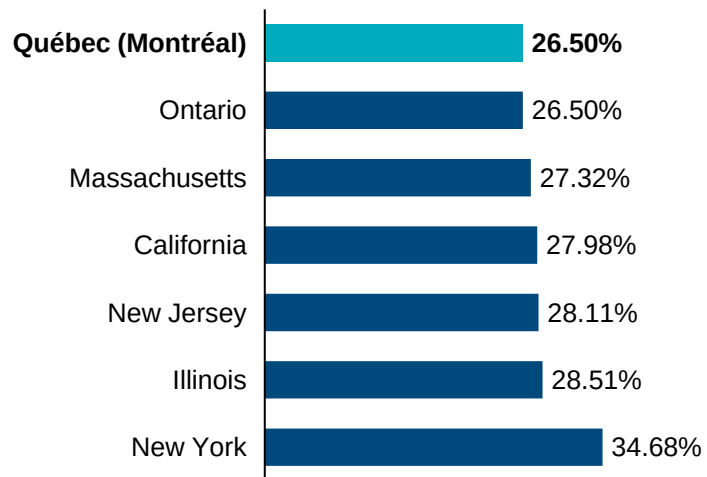
- **0%** of provincial income tax for the 1st and 2nd year
- **25%** for the 3rd year
- **50%** for the 4th year
- **75%** for the 5th year

Mitacs: Accelerate Program – Business component

- Fund **collaborative research** with a contribution of \$7,500 per unit (4- to 6-month unit) which is doubled, for a **total research award of \$15,000** (1:1 ratio)

Québec offers corporations an attractive tax treatment

Comparison of corporate effective tax rate (%)
Selection of provinces and states in Canada
and the U.S., 2023



04

Montréal International's Personalized, Free and Confidential Services



Personalized, free and confidential support for setting up or expanding your business

We support foreign companies, subsidiaries already established in Greater Montréal, and international entrepreneurs in their investment projects



Strategic and operational support
(business plan, sectoral expertise)



Site selection assistance
(regional economic data, comparative reports)



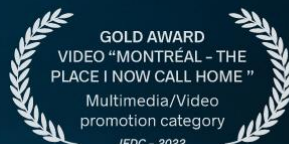
Advice on funding sources (financial and tax incentives)



Access to an established network of partners, university institutions and research centres



Montréal International, a world-leading economic development agency



...and many more!





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